

The complaint

Ms P complains THE ROYAL BANK OF SCOTLAND PUBLIC LIMITED COMPANY (RBS) won't refund a payment she has disputed.

What happened

The details of this complaint are well known to both parties, so I've just summarised the key events.

Early on 31 January 2025, Ms P received a call from her son (who was abroad at the time) explaining he was being held at gunpoint. The individuals holding him were threatening to seriously harm him unless Ms P sent a payment of £3,000 – which she did.

A few days later, Ms P contacted RBS and explained she had made the payment under duress. It didn't agree to refund her, saying the payment was authorised and the circumstances in which she made constituted a police matter.

Ms P referred the matter to our service. She said RBS should treat this as an authorised push payment (APP) scam and refund her. Our Investigator didn't uphold her complaint. He concluded the scenario didn't meet the definition of an APP scam under the terms of the FPS Reimbursement Rules – and that RBS wasn't otherwise liable for her loss.

Ms P has appealed the Investigator's outcome. Her son provided further details to corroborate what happened, and to confirm that Ms P made the payment under duress to prevent him from getting hurt.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I've decided not to uphold it. I appreciate this will be disappointing for Ms P, who has clearly lost out due to a horrible situation. However, looking at the specifics of what happened here, I don't think there are fair grounds to direct RBS to refund her.

Broadly, as Ms P completed the steps to make this payment (even though acting under duress), the starting position in law is that she is liable for it. However, she says the payment was an APP scam. So I've considered whether RBS should refund her in line with the FPS Reimbursement Rules – under which payment service providers (PSPs) are required to reimburse victims of APP scams in most circumstances.

However, the rules weren't intended to and don't provide reimbursement to all victims of crime, only those who've been subject to APP scams.

The FPS Reimbursement Rules define an APP scam as:

Where a person uses a fraudulent or dishonest act or course of conduct to manipulate, deceive or persuade a Consumer into transferring funds from the Consumer's Relevant account to a Relevant account not controlled by the Consumer, where:

- The recipient is not who the Consumer intended to pay, or*
- The payment is not for the purpose the Consumer intended.*

So, to meet this definition, the rules require a person to do something dishonest or fraudulent that causes the consumer to make the payment and either misunderstand the purpose of the payment or the identity of the person they are paying.

The circumstances under which Ms P made the payment must have been very distressing. It's clear she and her son have been the victims of crime. However, it doesn't appear there was any deception by the perpetrator about who she was paying or why. Instead, the money was obtained by threat. I'm therefore not persuaded this situation meets the definition of an APP scam – meaning RBS isn't liable to refund Ms P under the FPS Reimbursement Rules.

Ms P has also argued that RBS ought to have identified this as a suspicious payment. But under the Payment Services Regulations 2017, RBS is expected to process authorised payment instructions without undue delay. While I appreciate this was a significant payment for Ms P, I don't think its value or overall character looked so unusual or concerning that it was remiss of RBS to make the payment in line with the authorised instructions it received.

Given this, I don't think RBS can be held at fault for processing the payment. I also don't think it missed a clear opportunity to recover the funds; it's likely these were moved on quickly to avoid them being recalled, and RBS wasn't notified about the issue for a few days.

Overall, thinking about RBS's responsibility as Ms P's account provider, I don't think it made any errors here which caused or contributed to her loss. That includes its consideration of the FPS Reimbursement Rules. I therefore don't consider it fair for me to direct RBS to reimburse her.

My final decision

For the reasons given above, my final decision is that I do not uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Ms P to accept or reject my decision before 26 June 2026.

Rachel Loughlin
Ombudsman